Amazon (AMZN) | Earnings Brief

3Q26 (quarter ended 30 September 2026) | 30 October 2026 | Post-call | Josh, with Trevor

1 Executive snapshot

Consensus thesis	Investors own Amazon as the AI capacity landlord whose AWS growth re-accelerated on a $496bn backlog anchored by Anthropic and OpenAI, and pay about 23.5x FY27 EPS for mid-to-high-30s AWS growth and 2027 capex that earns its keep.
Thesis status	**Monitoring** — growth pillars confirmed and raised; the funding and off-balance-sheet pillars are challenged.
Versus expectations	Quarter: mixed. AWS beat ($46.0bn, +39.3%, vs $45.4bn Zacks and $45.6bn LSEG) and operating income of $28.1bn beat the top of the $22.5-26.5bn guide, but EPS missed ($1.89 vs $1.96) and revenue was in line ($201.9bn vs $202.2bn). Outlook: below on profit (4Q operating income guide midpoint $31.0bn vs $33.0bn consensus), in line on revenue ($243.5bn vs $244.5bn), above on spend (3Q cash capex $75.9bn, about $20bn above estimates; 2027 'meaningfully more').
Biggest changes	• AWS growth is now guided, not hoped for: 39.3% in 3Q ($46.0bn, $184bn run rate) and Jassy projects over 40% in both 2027 and 2028, with backlog up to $578bn (+16.5% QoQ, +189% YoY) and margin 38.7% with only $91mn of energy-derivative help. • The build stopped being self-funded: 3Q cash capex $75.9bn (+43% QoQ, 1.8x operating cash flow), quarterly FCF -$33.5bn and TTM FCF -$42.4bn; 2027 capex 'meaningfully more' than about $220bn, with no number. • Amazon now borrows like a builder: face debt $180.9bn (+$47.9bn QoQ; $68.8bn at year-end), the $17.5bn term loan drawn at SOFR+62.5-87.5bp, and a new secured supplier loan facility of up to about $80bn (Q1 2027 to Q3 2028), its first debt secured on purchased equipment. • Off-balance-sheet commitments jumped: leases not yet commenced $164.9bn (+$27.7bn QoQ), total commitments $883.6bn (+36%), energy contracts 690mn MWh (from 270mn) over about 18 years. • Jassy put a number on the neocloud penalty: neocloud capacity is 'about 3,500 basis points worse in operating margin' than long-leased capacity, and most AWS capacity is owned or long-leased.
Investor takeaway	→ *Consensus should raise AWS growth and keep the landlord thesis, but drop any assumption that the build pays for itself: Amazon's AI compounding improves while its credit quality weakens at the margin, as debt, secured equipment loans and $165bn of uncommenced leases fund the gap.*
Monitor next quarter	1. 4Q cash capex: the unchanged ~$220bn FY26 guide implies only ~$47.8bn in 4Q (vs $75.9bn in 3Q); a 2027 number when given in February. 2. Funding mix: first draws and terms on the ~$80bn secured supplier facility, 2027 bond plans, and any rating outlook change from A1/AA/AA-. 3. Backlog breadth: any concentration disclosure for the $578bn (Anthropic, OpenAI) and whether 4Q AWS growth reaches 40%.

Pillar scorecard

Pillar	Market assumed	Quarter showed	Verdict	Source
P1 AWS re-acceleration holds	35-37.6% ($44.6-45.4bn)	39.3% ($46.0bn); >40% projected for 2027 and 2028	Confirmed	Release; call
P2 Backlog converts and broadens	Backlog > $496bn; breadth	$578bn (+16.5% QoQ); 'well-diversified' (Jassy); new AWS deals incl. Meta, NVIDIA, OpenAI; life 6.1 yrs (6.4); no concentration figure	Confirmed (breadth unverified)	10-Q; call
P3 AWS margin survives D&A	High 30s ex derivative gain (~38.1% in 2Q)	38.7% with $91mn derivative gain; AWS D&A $9.23bn (+63% YoY)	Confirmed	Release; 10-Q
P4 Capex funded and earns a return	~$61.8bn/qtr 2H pace, funded by OCF and IG debt without stress	$75.9bn; FCF -$33.5bn in qtr; $48.1bn LT debt raised; ~$80bn secured facility; 2027 'meaningfully more'; shares -4.3% then ~-6% after hours	Challenged	Release; 10-Q; call; Investing.com
P5 Lab stakes and off-B/S build are assets	Stakes add value; $137.2bn leases manageable	Anthropic carrying $238.7bn (+$48.3bn QoQ); leases not commenced $164.9bn; commitments $883.6bn; energy 690mn MWh	Challenged	10-Q

Key KPIs

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Net sales ($bn)	201.9	200.6	180.2	+0.7% / +12.1% [~]	Prime Day shift (~400bp)
Operating margin	13.9%	13.7%	9.7%	+0.2pp / +4.2pp [↑]	Rising
AWS revenue ($bn)	46.0	42.2	33.0	+8.9% / +39.3% [↑]	Accelerating YoY

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
AWS operating margin	38.7%	39.4%	34.6%	-0.7pp / +4.1pp [~]	High 30s
AWS D&A ($bn)	9.23	8.08	5.65	+14% / +63% [↓]	20.1% of AWS revenue
AWS backlog ($bn)	578	496	200	+16.5% / +189% [↑]	Life 6.1 yrs (6.4)
Cash capex, net ($bn)	75.9	53.1	34.2	+43% / +122% [↓]	Above implied ~61.8
FCF, quarter ($bn)	-33.5	-7.7	1.3	worse [↓]	TTM -42.4
Long-term debt, face ($bn)	180.9	133.0	55.1	+36% / +228% [↓]	Incl. $17.5bn term loan
Leases not yet commenced ($bn)	164.9	137.2	n.a.	+20% [↓]	96.4 at year-end
Total commitments ($bn)	883.6	650.0	n.a.	+36% [↓]	P&E 159.6
Anthropic carrying value ($bn)	238.7	190.4	n.a.	+25% [?]	Pref 92.5 + notes 146.2

Guidance

Metric	Guidance	vs prior	vs consensus
4Q26 net sales	$240-247bn (+12-16%)	New	In line ($244.5bn LSEG)
4Q26 operating income	$28.5-33.5bn	New	Below ($33.0bn)
FY26 cash capex	~$220bn	Maintained	n.a.
FY27 cash capex	'Meaningfully more'	New (qualitative)	n.a. (MS $355bn, single source)
AWS growth 2027 and 2028	>40% each year	New	n.a. (MS +47% in 2027, single source)

Top risks

Risk	Current	Direction
Funding and leverage	TTM FCF -$42.4bn; face debt $180.9bn; ~$80bn secured facility	Up
Off-balance-sheet commitments	$164.9bn; commitments $883.6bn	Up
Capex inflation	3Q $75.9bn; components a 'headwind'	Up

Analyst focus (Trevor): Six analysts asked questions on the 3Q call; seven on the 2Q call. Nobody asked about free cash flow, the new secured facility, the $164.9bn of leases not yet commenced or lab concentration. The capex question got 'We can fund this plan' and no number. Ratings are ours; two quarters of transcripts read.

Monitoring and Kona read-through

Five signals

1. 4Q cash capex vs the ~$47.8bn the FY26 guide implies, and a 2027 number in February.
2. Draws and pricing on the ~$80bn secured facility; new bond deals; rating actions.
3. Backlog above $578bn and any customer split; weighted life (6.1 yrs).
4. AWS growth reaching 40% in 4Q and margin vs 38.7% as D&A rises.
5. Leases not yet commenced (now $164.9bn) and any new third-party or parent-guaranteed sites.

Conviction tripwires: AWS growth back below 35%; a rating outlook change; 2027 capex above $355bn with no FCF floor; a lab cutting commitments or a write-down of the Anthropic stake.

Questions for owners	Why it matters / asked?
The 10-Q discloses a secured supplier loan facility of up to about $80bn from Q1 2027. What assets secure it, what is the pricing, and will secured debt be capped as a share of total debt to protect unsecured noteholders?	Credit. Not asked.
Quarterly FCF was -$33.5bn and face debt rose $47.9bn in a quarter. What is the 2027 range for net debt issuance, and at what lease-adjusted leverage would you slow capex?	Credit. Asked in part (Anmuth); deflected ('We can fund this plan').
Leases not yet commenced rose $27.7bn to $164.9bn. How many MW does that cover, and what share is with third-party developers under parent guarantees like Cipher's Stingray?	Credit. Not asked.

Read-across for Kona: → *Amazon's CEO said neocloud capacity carries about 3,500bp lower operating margin than long-leased capacity, so the product Amazon wants from Kona is a long lease on a powered shell, not GPU-as-a-service. Its blocks are 'hundreds of megawatts or sometimes up to a gigawatt', so at tens of MW Kona should target labs, inference tenants or a developer aggregating for a hyperscaler, and copy the Cipher-style parent-guaranteed lease. Owning GPUs means competing against an AA buyer that can now finance chips through a variable-rate secured vendor facility of up to about $80bn; Kona should not bet its equity on that spread.*